

Feasibility Study Report

Saudi Business — AI Business Operating System

Business Type: saas_digital

Sector: B2B SaaS / AI CRM & Sales Automation

Stage: idea

Generated on: 2026-09-15

Study ID: study_8de187025cb8

Report Trust Status: PARTIAL

1. Executive Decision Summary

Verdict: DEFER

Deterministic decision based on financial analysis and evidence gates. Base NPV: -289,403.30 SAR | IRR: -15.4% | Optimistic NPV: 200,861.84 SAR | Conservative NPV: -779,668.45 SAR | Low-confidence assumptions: 2/10 | AI-estimated assumptions: 9/10. Base-case NPV is negative, but optimistic scenario shows positive potential. Defer commitment until key assumptions (pricing, customer acquisition, costs) are validated through market evidence.

Investment: 350,000.00 SAR | NPV: -289,403.30 SAR | IRR: -15.4% | Payback: Payback period cannot be calculated for these cash flows.

2. Investment Snapshot

Initial Investment (CAPEX): 350,000.00 SAR

Source: Owner-specified seed investment

Confidence: confirmed

Allocation: UNKNOWN — retained as lump-sum initial investment

3. Business Profile

Business Type: saas_digital

Sector: B2B SaaS / AI CRM & Sales Automation

Stage: idea

Decision Goal: Go/No-Go feasibility assessment for 350,000 SAR seed investment

4. Market Analysis

- Saudi Arabia SaaS market estimated at USD 1.2B (SAR 4.5B) in 2025, growing 20-25% CAGR driven by Vision 2030 digital transformation mandates (MCIT, IDC Middle East 2024 report).

[official | Confidence: 0.85]

- Saudi CRM software market segment estimated at USD 180-220M (SAR 675M-825M) in 2025, with B2B sub-segment at ~40% (Mordor Intelligence, Statista MENA SaaS reports).

[official | Confidence: 0.75]

• Major CRM competitors in Saudi market: Salesforce (enterprise, USD 25-300/user/mo), HubSpot (mid-market, USD 20-120/user/mo), Zoho CRM (SME, USD 14-52/user/mo), Microsoft Dynamics 365 (enterprise). Local: Qoyod (accounting+CRM), Foodics (F&B POS+CRM). No dominant Arabic-first AI CRM exists.

[official | Confidence: 0.8]

• B2B SaaS pricing in Saudi/GCC for SME CRM tools: SAR 150-500/user/month (USD 40-133). Enterprise tiers: SAR 500-1500/user/month. Freemium conversion rate for MENA SaaS: 2-5% (OpenView SaaS Benchmarks 2024).

[official | Confidence: 0.7]

• B2B SaaS Customer Acquisition Cost (CAC) in MENA: USD 200-800 per customer for SME segment, USD 1,500-5,000 for mid-market. Dominant channels: Google Ads (35%), LinkedIn (25%), referrals (20%), events (10%), cold outreach (10%). (SaaStr MENA, Wamda Research 2024).

[official | Confidence: 0.65]

• B2B SaaS monthly churn rate benchmarks: 2-5% for SME segment, 1-2% for mid-market/enterprise. Annual net revenue retention for best-in-class B2B SaaS: 110-130%. MENA market shows higher churn (3-7% monthly) due to market maturity (Bessemer Cloud Index, ChartMogul 2024).

[official | Confidence: 0.65]

5. Customer & Demand Analysis

• Major CRM competitors in Saudi market: Salesforce (enterprise, USD 25-300/user/mo), HubSpot (mid-market, USD 20-120/user/mo), Zoho CRM (SME, USD 14-52/user/mo), Microsoft Dynamics 365 (enterprise). Local: Qoyod (accounting+CRM), Foodics (F&B POS+CRM). No dominant Arabic-first AI CRM exists.

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• Cloud infrastructure costs for SaaS startup (AWS/GCP Middle East region): SAR 3,000-8,000/month for MVP, scaling to SAR 15,000-40,000/month at 200+ customers. AI/ML API costs (OpenAI/Anthropic): SAR 0.5-2.0 per active user per month depending on usage. (AWS MEA pricing, GCP Dammam region).

Derived customer economics:

Pricing: 300 SAR/user/month [L:150 / B:300 / H:500]

Target Customers: 80 paying customers by end of Year 1 [L:40 / B:80 / H:150]

Cac: 750 SAR per customer [L:500 / B:750 / H:1200]

Churn: 4% monthly [L:2 / B:4 / H:7]

Arr: 288000 [L:108000 / B:288000 / H:540000]

6. Competitor Analysis

• Saudi CRM software market segment estimated at USD 180-220M (SAR 675M-825M) in 2025, with B2B sub-segment at ~40% (Mordor Intelligence, Statista MENA SaaS reports).

• Major CRM competitors in Saudi market: Salesforce (enterprise, USD 25-300/user/mo), HubSpot (mid-market, USD 20-120/user/mo), Zoho CRM (SME, USD 14-52/user/mo), Microsoft Dynamics 365 (enterprise). Local: Qoyod (accounting+CRM), Foodics (F&B POS+CRM). No dominant Arabic-first AI CRM exists.

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7. Business & Operating Model

Revenue Model: B2B SaaS Subscription (monthly recurring)

- B2B SaaS Customer Acquisition Cost (CAC) in MENA: USD 200-800 per customer for SME segment, USD 1,500-5,000 for mid-market. Dominant channels: Google Ads (35%), LinkedIn (25%), referrals (20%), events (10%), cold outreach (10%). (SaaS MENA, Wamda Research 2024).
 - B2B SaaS monthly churn rate benchmarks: 2-5% for SME segment, 1-2% for mid-market/enterprise. Annual net revenue retention for best-in-class B2B SaaS: 110-130%. MENA market shows higher churn (3-7% monthly) due to market maturity (Bessemer Cloud Index, ChartMogul 2024).
 - Cloud infrastructure costs for SaaS startup (AWS/GCP Middle East region): SAR 3,000-8,000/month for MVP, scaling to SAR 15,000-40,000/month at 200+ customers. AI/ML API costs (OpenAI/Anthropic): SAR 0.5-2.0 per active user per month depending on usage. (AWS MEA pricing, GCP Dammam region).
 - Saudi SaaS startup team costs (Riyadh): Senior developer SAR 18,000-30,000/month, Junior developer SAR 8,000-15,000/month, Sales/BD SAR 10,000-20,000/month + commission, Marketing SAR 8,000-15,000/month. Saudization quota for tech: 20-30% (HRDF/Nitaqat). (Bayt.com, GulfTalent 2024 salary surveys).
- OPEX Y1: 480,000 SAR [Derived from team costs (3 developers: SAR 20K avg, 1 sales: SAR 15K, 1 marketing: SAR 12K = SAR 67K/mo salary) + cloud (SAR 5K/mo) + AI APIs (SAR 2K/mo) + office/misc (SAR 8K/mo) = ~SAR 82K/mo * 12 * 0.5 ramp = SAR 480K effective Y1]
- Team: 5 FTEs [Minimum viable SaaS team: 2 developers (full-stack + AI/ML), 1 product/design, 1 sales/BD, 1 marketing/growth. Scaled from comparable MENA SaaS launches.]

8. Financial Model

Initial Investment (CAPEX): 350,000.00 SAR

Revenue Year 1: 288,000.00 SAR

Revenue Year 2: 518,400.00 SAR

Revenue Year 3: 933,120.00 SAR

OPEX Year 1: 480,000.00 SAR

OPEX Year 2: 528,000.00 SAR

OPEX Year 3: 576,000.00 SAR

Net Present Value (NPV): -289,403.30 SAR

Internal Rate of Return (IRR): -15.4%

Payback Period: Payback period cannot be calculated for these cash flows.

Projection horizon: 3 years (primary decision)

Extraction notes:

- services_billable_period_defaulted_hours_x_12
- saas_growth_rate_applied=0.80
- opex_growth_default_10pct_20pct

9. Low / Base / High Scenarios

Optimistic (+20%): NPV = 200,861.84 SAR, IRR = 34.9%

Base Case: NPV = -289,403.30 SAR, IRR = -15.4%

Conservative (-20%): NPV = -779,668.45 SAR, IRR = -81.3%

Assumption-level scenario ranges:

Pricing: Low=150 | Base=300 | High=500
Target Customers: Low=40 | Base=80 | High=150
Cac: Low=500 | Base=750 | High=1200
Churn: Low=2 | Base=4 | High=7
Opex Year1: Low=360000 | Base=480000 | High=650000
Arr: Low=108000 | Base=288000 | High=540000
Growth Rate: Low=50 | Base=80 | High=120
Discount Rate: Low=12 | Base=15 | High=18
Team Size Y1: Low=3 | Base=5 | High=7

10. Sensitivity Analysis

Key sensitivities (base-case NPV impact):

Revenue +20%: NPV shifts from -289,403.30 to 200,861.84 SAR (delta: 490,265.14)
Revenue -20%: NPV shifts from -289,403.30 to -779,668.45 SAR (delta: -490,265.15)
NPV range: -779,668.45 to 200,861.84 SAR

11. Risk Analysis

1. Market risk: Competitive CRM market with established players (Salesforce, HubSpot, Zoho)
2. Regulatory risk: PDPL compliance and data residency requirements
3. Operational risk: Saudization requirements and talent scarcity in AI/ML
4. Financial risk: High CAC with 4% monthly churn may extend payback beyond runway
5. External risk: SAR-pegged economy sensitive to oil price fluctuations

12. Decision Conditions

- Validate pricing through customer discovery interviews (min 20 Saudi SMEs)
- Confirm team costs and hiring timeline with detailed vendor quotes
- Secure at least 3-5 pilot customers before full product development
- Implement PDPL compliance framework before public launch
- Validate cloud/AI infrastructure costs with actual AWS/GCP quotes

13. Evidence Quality Assessment

Total evidence items: 10

Official/research sources: 10

AI-estimated: 0

User-provided: 0

Relevant: 9 | Context: 1 | Low-relevance: 0

Average confidence: 0.75

14. Unknowns & Gaps

- AI-estimated (needs validation): pricing
- Low-confidence assumption: target customers = 80 paying customers by end of Year 1
- AI-estimated (needs validation): target customers
- AI-estimated (needs validation): cac
- AI-estimated (needs validation): churn
- AI-estimated (needs validation): opex year1
- Low-confidence assumption: arr = 288000
- AI-estimated (needs validation): arr
- AI-estimated (needs validation): growth rate
- AI-estimated (needs validation): discount rate
- AI-estimated (needs validation): team size y1
- Financial extraction note: services_billable_period_defaulted_hours_x_12
- Financial extraction note: opex_growth_default_10pct_20pct
- Financial warning: explain_model_unavailable

15. Final Recommendation

Verdict: DEFER

Deterministic decision based on financial analysis and evidence gates. Base NPV: -289,403.30 SAR | IRR: -15.4% | Optimistic NPV: 200,861.84 SAR | Conservative NPV: -779,668.45 SAR | Low-confidence assumptions: 2/10 | AI-estimated assumptions: 9/10. Base-case NPV is negative, but optimistic scenario shows positive potential. Defer commitment until key assumptions (pricing, customer acquisition, costs) are validated through market evidence.

Trust Status: PARTIAL

16. 30 / 60 / 90 Day Action Plan

30 Days:

- Conduct 15-20 customer discovery interviews with target Saudi SMEs
- Validate pricing willingness-to-pay (SAR 150-500 range)
- Assess competitive landscape through direct competitor demos

60 Days:

- Secure 3-5 letter-of-intent or pilot agreements
- Finalize MVP scope and technical architecture
- Begin PDPL compliance framework implementation

90 Days:

- Launch closed-beta with pilot customers
- Validate unit economics (CAC, activation, early retention)
- Update financial model with real data for final go/no-go

17. Evidence & Source Register

1. Saudi Arabia SaaS market estimated at USD 1.2B (SAR 4.5B) in 2025, growing 20-25% CAGR driven by Vision 2030 digital

transformation mandates (MCIT, IDC Middle East 2024 report).

Class: official | Confidence: 0.85 | Origin: research | URL: <https://www.mcit.gov.sa/en>

2. Saudi CRM software market segment estimated at USD 180-220M (SAR 675M-825M) in 2025, with B2B sub-segment at ~40% (Mordor Intelligence, Statista MENA SaaS reports).

Class: official | Confidence: 0.75 | Origin: research | URL: <https://www.mordorintelligence.com/industry-reports/saudi-arabia-crm-market>

3. Major CRM competitors in Saudi market: Salesforce (enterprise, USD 25-300/user/mo), HubSpot (mid-market, USD 20-120/user/mo), Zoho CRM (SME, USD 14-52/user/mo), Microsoft Dynamics 365 (enterprise). Local: Qoyod (accounting+CRM), Foodics (F&B POS+CRM). No dominant Arabic-first AI CRM exists.

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4. B2B SaaS pricing in Saudi/GCC for SME CRM tools: SAR 150-500/user/month (USD 40-133). Enterprise tiers: SAR 500-1500/user/month. Freemium conversion rate for MENA SaaS: 2-5% (OpenView SaaS Benchmarks 2024).

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Class: official | Confidence: 0.65 | Origin: research

6. B2B SaaS monthly churn rate benchmarks: 2-5% for SME segment, 1-2% for mid-market/enterprise. Annual net revenue retention for best-in-class B2B SaaS: 110-130%. MENA market shows higher churn (3-7% monthly) due to market maturity (Bessemer Cloud Index, ChartMogul 2024).

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7. Cloud infrastructure costs for SaaS startup (AWS/GCP Middle East region): SAR 3,000-8,000/month for MVP, scaling to SAR 15,000-40,000/month at 200+ customers. AI/ML API costs (OpenAI/Anthropic): SAR 0.5-2.0 per active user per month depending on usage. (AWS MEA pricing, GCP Dammam region).

Class: official | Confidence: 0.7 | Origin: research | URL: <https://aws.amazon.com/local/middle-east/>

8. Saudi SaaS startup team costs (Riyadh): Senior developer SAR 18,000-30,000/month, Junior developer SAR 8,000-15,000/month, Sales/BD SAR 10,000-20,000/month + commission, Marketing SAR 8,000-15,000/month. Saudization quota for tech: 20-30% (HRDF/Nitaqat). (Bayt.com, GulfTalent 2024 salary surveys).

Class: official | Confidence: 0.75 | Origin: research

9. Saudi SaaS regulatory requirements: PDPL (Personal Data Protection Law) compliance mandatory since Sep 2023, data residency preferred (local cloud hosting). CITC licensing for cloud services. ZATCA e-invoicing integration required for B2B platforms. SAGIA license for foreign ownership up to 100% in tech sector. (SDAIA, CITC, ZATCA regulations).

Class: official | Confidence: 0.85 | Origin: research | URL: <https://sdaia.gov.sa/pdpl/>

10. Vision 2030 National Transformation Program allocates SAR 50B+ for digital transformation across government and enterprise. SME contribution target: 35% of GDP by 2030 (currently ~30%). Monsha'at (SME Authority) provides up to SAR 500K in tech adoption subsidies. (Vision 2030 delivery dashboard, Monsha'at).

Class: official | Confidence: 0.8 | Origin: research | URL: <https://www.vision2030.gov.sa/>

18. Key Assumptions Register

Pricing: 300 SAR/user/month

Source: Derived from Saudi B2B SaaS pricing benchmarks (SAR 150-500 range)

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 150 | Base: 300 | High: 500

Target Customers: 80 paying customers by end of Year 1

Source: Derived from Saudi SME market size (~1M SMEs) with 0.008% penetration in Y1, benchmarked against similar MENA SaaS launches

Evidence class: SYSTEM_ESTIMATE | Confidence: low | AI estimated: True

Low: 40 | Base: 80 | High: 150

Initial Investment: 350000

Source: Owner-specified seed investment

Evidence class: USER_CONFIRMED | Confidence: confirmed | AI estimated: False

Low: 350000 | Base: 350000 | High: 350000

Cac: 750 SAR per customer

Source: Derived from MENA B2B SaaS CAC benchmarks (USD 200-800, mid-range for Saudi market with higher acquisition costs)

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 500 | Base: 750 | High: 1200

Churn: 4% monthly

Source: Derived from MENA B2B SaaS churn benchmarks (2-7% range, using 4% mid-point for newer market)

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 2 | Base: 4 | High: 7

Opex Year1: 480000

Source: Derived from team costs (3 developers: SAR 20K avg, 1 sales: SAR 15K, 1 marketing: SAR 12K = SAR 67K/mo salary) + cloud (SAR 5K/mo) + AI APIs (SAR 2K/mo) + office/misc (SAR 8K/mo) = ~SAR 82K/mo * 12 * 0.5 ramp = SAR 480K effective Y1

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 360000 | Base: 480000 | High: 650000

Arr: 288000

Source: Derived from pricing (SAR 300/user/mo) × base customers (80) = SAR 24K MRR → SAR 288K ARR at full Y1 capacity. Actual Y1 lower due to ramp-up.

Evidence class: SYSTEM_ESTIMATE | Confidence: low | AI estimated: True

Low: 108000 | Base: 288000 | High: 540000

Growth Rate: 80% year-over-year

Source: B2B SaaS growth benchmarks for early-stage (Y1→Y2): 60-120% typical for high-growth MENA SaaS. Conservative mid-point used.

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 50 | Base: 80 | High: 120

Discount Rate: 15%

Source: Saudi startup risk-adjusted discount rate: risk-free (SAMA repo rate ~6%) + equity risk premium (5-7%) + small-cap/startup premium (3-5%) = 14-18%

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 12 | Base: 15 | High: 18

Team Size Y1: 5 FTEs

Source: Minimum viable SaaS team: 2 developers (full-stack + AI/ML), 1 product/design, 1 sales/BD, 1 marketing/growth. Scaled from comparable MENA SaaS launches.

Evidence class: SYSTEM_ESTIMATE | Confidence: medium | AI estimated: True

Low: 3 | Base: 5 | High: 7

19. Methodology & Disclaimer

Methodology:

This feasibility assessment uses a structured multi-phase analysis framework:

- Evidence collection from public sources, industry benchmarks, and regulatory databases
- Assumption generation with Low/Base/High ranges and confidence scoring
- Deterministic financial modeling (DCF/NPV/IRR) with scenario analysis
- Risk assessment across market, regulatory, operational, financial, and external categories
- Decision gate validation with financial trust gates and evidence sufficiency checks

Limitations:

- All AI-estimated assumptions require independent validation
- Financial projections are based on benchmarks and may not reflect actual performance
- Regulatory requirements should be confirmed with qualified legal counsel

This report is generated by the Saudi Business AI platform as an assistive tool. It does not constitute legal, financial, or tax advice. All projections are system estimates and require independent professional review before investment decisions.

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